

# Eli Lilly Q1 2026 Earnings Transcript

Blind Sentiment & Directional Score

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## Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score  $\in [-1, +1]$ , directional signal  $\in \{\text{BUY, HOLD, SELL}\}$ , structured summary, evidence quotes.
- **HOLD band:**  $|\text{overnight move}| < 2.00\%$ . Above  $+2.00\%$ , BUY is correct. Below  $-2.00\%$ , SELL is correct.
- **Timing rule:** Eli Lilly releases results before the market opens. For pre-market releases the overnight move is defined as  $(\text{release-day Open} \div \text{prior-day Close}) - 1$ , the direct analogue of the after-hours rule.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The  $\pm 2.00\%$  band applies to the overnight move only.

## Report metadata

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|                   |                                                          |
|-------------------|----------------------------------------------------------|
| Company           | Eli Lilly and Company (LLY)                              |
| Report            | Q1 2026                                                  |
| Release date      | Thursday 30 April 2026, before market open               |
| Earnings call     | 10:00am ET                                               |
| Source transcript | <a href="#">Motley Fool</a>                              |
| Press release     | <a href="#">Form 8-K, SEC EDGAR, filed 30 April 2026</a> |
| Read mode         | transcript and news only                                 |
| Time to produce   | 68 minutes                                               |

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## Source material (read this first)

### Headline financials

- Revenue \$19.8B, up 56% year over year, against roughly \$17.6B expected.
- Non-GAAP EPS \$8.55 against \$3.34 a year earlier.
- Mounjaro and Zepbound combined global revenue \$12.8B. Gross margin 82.6%, down about a point.

## Forward guide

- 2026 revenue raised \$2B at both ends to \$82B to \$85B.
- 2026 EPS raised \$2.00 at both ends to \$35.50 to \$37.00, a 28% growth midpoint.

## Hedges and concerns

- Pricing headwinds expected in the low to mid teens for the full year.
- Loss of Medicaid access in some states dented Q1 Zepbound prescription growth.
- Seasonal softness observed in the second half, including holiday-driven drug holidays in Europe.

## News and context going into the print

*Pre-release context only. Nothing below reveals the market reaction to this report.*

- Consensus looked for about \$17.6B of revenue, so the whisper was for another big incretin quarter.
- The Foundayo pill launch was ramping, with early uptake data the key watch item.
- The stock had pulled back from its February highs with the broader market, leaving room for a beat to matter.

## FOMC backdrop (point-in-time, Fed event-study linkage)

*Added under the Fed extension (Mode B): the most recent FOMC statement released before this print. The statement is scored separately in the Fed event study; its stance doubles as the macro input for the in-prompt conditioning arm.*

- **Latest statement:** 29 April 2026 – hold at 3.50–3.75%.
- **Stance read:** Hawkish hold: fresh inflationary pressures muddying the outlook for further easing.
- **Event-study convention:** statement scored against the short-rate proxy as the primary instrument (SPY, TLT and XLF secondary), close-to-close on statement day; IC against the continuous reaction is primary.

## Candidate evidence quotes

1. *“Foundayo has been proven highly effective for weight management, offering benefits of GLP-1 therapy in pill form”* – Ricks, prepared remarks.
2. *“Revenue grew 56% compared to Q1 2025, driven by Zepbound and Mounjaro”* – Montarce, prepared remarks.
3. *“We currently have an estimated market share of 60% in Brazil and Korea for Mounjaro”* – Jonsson, Q&A.
4. *“Over 20,000 patients have been treated to date, 80% of whom are new to class”* – Yuffa, Q&A.

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**Your scoring – fill in below, then seal**

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## 1 Sentiment score

**Score: +0.85**

*Rationale.* A thumping beat, revenue of \$19.8B against roughly \$17.6B expected, EPS more than double last year and the full-year guide raised \$2B at both ends only a quarter after being set.

## 2 Directional signal

**Signal: BUY**

*Rationale.* A beat plus an immediate raise plus a launch running ahead of plan. BUY.

## 3 Structured summary

- **Incretin franchise.** \$12.8B from Mounjaro and Zepbound alone.
- **Pipeline and launches.** Foundayo pulling new patients, 80% of them new to class.
- **Margins and pricing.** The pricing headwind is being absorbed by volume.
- **Forward guide.** Raised at both ends after a single quarter.

## 4 Evidence quotes

1. “Revenue grew 56% compared to Q1 2025, driven by Zepbound and Mounjaro” – Montarce, prepared remarks (growth).
2. “Foundayo has been proven highly effective for weight management, offering benefits of GLP-1 therapy in pill form” – Ricks, prepared remarks (launch).
3. “Over 20,000 patients have been treated to date, 80% of whom are new to class” – Yuffa, Q&A (uptake).

— SEALED —

## Overnight move and call verification

|                                                        |               |
|--------------------------------------------------------|---------------|
| LLY close, 29 April 2026 (day before release)          | \$851.21      |
| LLY open, 30 April 2026 (release day)                  | \$898.78      |
| <b>Overnight move</b> (prior close → release-day open) | <b>+5.59%</b> |

## Call verification

- HOLD band test:  $|+5.59\%| \geq 2.00\%$ , so this is not a HOLD.
- Sign test: the move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **BUY**, matching the correct call, so the call was **CORRECT**.

## Horizon returns (pre-registered)

*For the Information Coefficient.* Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

| Horizon                            | Return         |
|------------------------------------|----------------|
| Overnight (baseline for the label) | + <b>5.59%</b> |
| D+1 close                          | +9.80%         |
| D+3 close                          | +13.71%        |
| D+5 close                          | +15.96%        |
| D+10 close                         | +19.33%        |
| D+20 close                         | +32.60%        |